

Human Rights Violations by Multinational Corporations: Nestle as the culprit

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Introduction:

A well balanced market does not only pay attention to its consumers, but also to every stakeholder of the company.¹ A properly market oriented corporate sector must not only based on the profits and the consumer interests. It must consider the well- being of each and every stakeholder which is connected to it, including the society.

Multinational corporations are the leaders in the current corporate world. As per the business dictionary, Multinational Corporation is,

'An enterprise operating in several countries but managed from one (home) country. Generally, any company or group that derives a quarter of its revenue from operations outside of its home country is considered a multinational corporation'²

According to the above description, multinational companies have been expanded throughout the world for its business, industrial and market purposes. Even though they have their main office in the home country, their subsidiaries which are located in other countries generate the major half of their profit. Multinational corporations are very much useful for the economic and market development of the whole world. Third world countries which suffer with lack of employment opportunity and consumption of high quality commodities and services are benefiting out of the multinational corporations as they expand their subsidiaries in those third world countries as well.³

However, the angel face of the multinational corporations has been removed sometimes due to their activities which are illicit and also which cause huge damages to the society and the morality. Even though multinational corporations have created a better lifestyle for people in third world countries, the same people and the same societies are the major victims of the illegal activities by multinational corporations. Reasons behind this condition are that, the government and law enforcement

¹ Day G.S., *The Market Driven Organisation*, New York, The Free Press. (1999)

² 'Multinational Corporation (MNC)' (*BusinessDictionary.com*)

<<http://www.businessdictionary.com/definition/multinational-corporation-MNC.html>> accessed 21 August 2017.

³ JAMES AHIKPOR, 'Multinational Corporations in the Third World: Predators or Allies in Economic Development?' (2010) 2 Religion and Liberty.

mechanisms are weaker in these compared to the 'developed countries' in the world. Financial power of the multinational corporations is considerably higher than not only the third world countries, but more than some of the developed countries in the world.⁴ Multinational corporations are reported to be bribing the corrupted government officers in the third world countries to create a free environment to engage with annoying corporate practices. As a result of the power and the financial capacity which multinational corporations exercise, they have avoided the liability of the damages which they have caused to the society. Bhopal tragedy is one of the main incident which they escaped without proper penalties.⁵

'Corporate crime' is a name which can be given to identify crimes which are committed by any kind of a company, despite being a small, large, multinational or governmental corporation. In that perspective, illegal activities which are committed by multinational corporations can be recognized as corporate crimes. There are many types of corporate crimes by multinational corporations which have been reported from the beginning of the multinational corporations. Financial crimes, human and employment rights violations, corporate manslaughter, environmental pollution, political interference, bribery...etc. are some of the illegal activities which are committed by multinational corporations.

Human rights are one of the main element in the international which has been developed throughout the history of international law. Human rights law has been grown as a separate law branch in the international law framework. As United Nations defined,

"Human rights are rights inherent to all human beings, regardless of race, sex, nationality, ethnicity, language, religion, or any other status."⁶

⁴These 25 Companies Are More Powerful Than Many Countries' (*Foreign Policy*, 2016) <<http://foreignpolicy.com/2016/03/15/these-25-companies-are-more-powerful-than-many-countries-multinational-corporate-wealth-power/>> accessed 22 August 2017.

⁵ JAMES AHIKPOR, 'Multinational Corporations in the Third World: Predators or Allies in Economic Development?' (2010) 2 Religion and Liberty.

⁶ 'Human Rights' (*Un.org*) <<http://www.un.org/en/sections/issues-depth/human-rights/>> accessed 22 August 2017.

Right to life, right to education, right to work, freedom from slavery, freedom from torture, right for equality are some of the fundamental human rights which have been identified throughout the world.⁷

Multinational corporations have been alleged to violate these human rights in every corner of the world where they pursue their business.⁸ Even though the national parliaments and the international law making authorities such as UN, EU...etc. have accepted the importance of the human rights and the necessity to protect those rights, multinational corporations have been able to shamelessly violate the human rights of the people who are attached to their business operations at any level, under many circumstances.

Discussion:

Multinational corporations have gained a power in the world which helps them to have an extraordinary power and impact over the world in different perspectives. Multinational corporations surely have influenced the world and its people in a good way as, they create employments, new innovations and technology and further, they enhance lives and interests of the people. Yet, there are numerous instances where, multinational corporations misuse frail and inadequately formulated laws and regulations in international and national levels, which cause obliterating impact on people and the society. In some instances, they ignored the properly formulated laws as well.⁹

If there is a one multinational corporation which is notorious for its human rights violations in the world in every possible circumstance, it is none other than Nestle. There are thousands of instances where Nestle has been alleged, and convicted for its human rights violations. Nestle is one of the largest multinational corporations in the world as it has been expanded to six continents and approximately 80 countries.¹⁰

⁷ 'Human Rights' (*Un.org*) <<http://www.un.org/en/sections/issues-depth/human-rights/>> accessed 22 August 2017.

⁸ 'Corporations' (*Amnesty.org*) <<https://www.amnesty.org/en/what-we-do/corporate-accountability/>> accessed 22 August 2017.

⁹ *ibid*

¹⁰ 'Nestlé: Corporate Rap Sheet | Corporate Research Project' (*Corp-research.org*) <<https://www.corp-research.org/nestle>> accessed 21 August 2017.

The first instance which they came on the stage for human rights violations was in 1970s, where they introduced an infant formula for 'developing countries'. Nestle promoted their infant formula in poor countries as a supplementary food to be given for infants along with breast milk. Nestle advertised their product in a compelling way, which made the mothers of the poor countries to believe that, they must give the infant formula for their infants.¹¹ However, the formula needed to be mixed with clean water, which was the biggest lack in the poor countries such as Africa, where Nestle focused as their main markets. Due to lack of clean water and due to illiteracy of the mothers in poor countries, infant formula was mixed with water which was not clean and the babies who consumed the formula had to go through serious health issues, which sometimes caused even death.¹² It was reported that, Nestle knew the illiteracy and the lack of clean water in African countries, yet, Nestle did not alarm it, as it might minimize their market and they might lose profits.

Every person in this world, despite of being poor or wealthy, has a right to life as well as a right to a healthy life. When multinational corporations jeopardize these rights, especially in 'developing countries' which have focused more on daily survival rather than human rights protection can be considered as a dangerous corporate practice. It is less possible for them to go against the multinational corporations which violated their human rights. This pose a huge threat to the society as, people and the governments are helpless in front of the multinational corporations which come to their own countries, violate their human rights and escape without penalties. However, the society boycotted nestle products in this instance, which can be considered as a better option rather than governmental influence.

Knowing the illiteracy and lack of clean water in the particular countries and knowing the risk of child death due to unsafe use of the formula, nestle could have warned and alarmed the particular communities to properly use the infant formula. Knowingly letting the society to use the product with improper conditions and letting them to prejudice themselves is a grave human rights violation as it has cost the human lives at some point.

¹¹ *ibid*

¹² 'Why Nestle is one of the Most Hated Companies in The World' (*ZME Science*)

<<http://www.zmescience.com/science/nestle-company-pollution-children/>> accessed 22 August 2017.

As identified by the United Nations, right to clean water and sanitation is one of the basic human rights in the current world.¹³ Nestle is recorded to be the largest producer of bottled water.¹⁴ It drains water from natural springs and fountains around the world and sell it to people in nicely shaped bottles. Water draining from natural springs and fountains has obviously make their pockets full yet, it has prejudiced the environment as well as the general human right for water.¹⁵

There are two sides to be considered in this particular issues. Some 'poor, developing and less technological' countries suffer with lack of clean water. Ethiopia, Uganda, some Caribbean countries are some of the examples for countries which lacks clean and sanitary water.¹⁶ The people of these countries are not in a position to exercise their right to life due to the condition of their countries and governments. Multinational corporations such as nestle provides bottled clean water to these countries which has eased those people to enjoy clean water. In this way, nestle has helped to upheld the right to clean water of some people by providing them clean water.

In the other hand, nestle drains water from the natural springs and fountains which violates the right to clean water of the people who reside in the countries and locations where the springs as fountains are located. Colorado and California had to face a drought due to water drainage by nestle for their bottled water industry.¹⁷ In Pakistan, people of the village where the springe located which nestle used to drain water had to use dirty water as, the drainage mechanism had drained out the clean water from the springe and the what left was the dirty and the muddy water for the consumption of the Pakistani people.¹⁸

¹³ 'The Human Right to Water and Sanitation' (*www.un.org*)
<http://www.un.org/waterforlifedecade/pdf/human_right_to_water_and_sanitation_media_brief.pdf> accessed 23 August 2017.

¹⁴ 'Why Nestle is one of the Most Hated Companies in The World' (*ZME Science*)
<<http://www.zmescience.com/science/nestle-company-pollution-children/>> accessed 22 August 2017.

¹⁵ 'Nestlé: Corporate Rap Sheet | Corporate Research Project' (*Corp-research.org*)
<<https://www.corp-research.org/nestle>> accessed 22 August 2017.

¹⁶ Katherine Purvis, 'Access to Clean Water and Sanitation around the World – Mapped' (*the Guardian*, 2015) <<https://www.theguardian.com/global-development-professionals-network/2015/jul/01/global-access-clean-water-sanitation-mapped>> accessed 22 August 2017.

¹⁷ 'Nestlé: Corporate Rap Sheet | Corporate Research Project' (*Corp-research.org*)
<<https://www.corp-research.org/nestle>> accessed 22 August 2017

¹⁸ 'Why Nestle is one of the Most Hated Companies in The World' (*ZME Science*)
<<http://www.zmescience.com/science/nestle-company-pollution-children/>> accessed 22 August 2017.

It is a positive influence of the multinational corporations to take necessary steps to help people who suffer with lack of clean water for consumption, yet, the purpose of the multinational companies is not to gain profit while making world a better place, but, to maximize their profits in any mean. To maximize their profits, they mercilessly took out water from some areas and sold around the world, which ultimately increased the 'lack of clean water' problem in the world.¹⁹

Child slavery is the next most notorious human rights violation which was committed by Nestle. It was alleged that, nestle has trafficked (abducted) children to Ivory Coast where the cocoa plantations were located, forced them to work without wages (slavery in more precise explanations) and abused them mentally and physically.²⁰ This can be considered as the gravest human rights violation which has been ever committed by nestle. Children are the next generation which take over the world from the current generation. Their right to education is identified by the United Nations.²¹ Also they have banned the child labor. Children must study which prepares them for the future development of the world and, if they spent the time which they are supposed to study to engage in an employment, the international laws consider it as illegal.

'Slavery' can be considered as an illegal thing which is highly criticized among the civilized people in the current world. In that context, a well- established Multinational Corporation such as nestle encouraging slavery is not an acceptable deed under any circumstance. It has clearly violated or encouraged to violate the freedom from slavery of the children who were forced to work without wages in the cocoa farms. Freedom from torture is also violated when these children were physically and mentally abused.

First they violated the right to education of the children by trafficking them for jobs in Ivory Coast. It is a grave violation of international child labor policies as well. Then they violated their freedom from slavery by forcing them to work without wages. Lastly they violated freedom from torture by beating and verbally abusing children.

¹⁹ 'Nestle Pipes Water from National Forest, Sparking Protests' (*USA TODAY*, 2017) <<https://www.usatoday.com/story/money/nation-now/2017/04/03/nestle-pumps-water-national-forest-without-paying>> Joe Clarke, accessed 22 August 2017.

²⁰ Joe Clarke, 'Child Labour on Nestlé Farms: Chocolate Giant's Problems Continue' (*the Guardian*, 2015) <<https://www.theguardian.com/global-development-professionals-network/2015/sep/02/child-labour-on-nestle-farms-chocolate-giants-problems-continue>> accessed 23 August 2017.

²¹ 'Right to Education | United Nations Educational, Scientific and Cultural Organization' (*Unesco.org*) <<http://www.unesco.org/new/en/unesco-liaison-office-in-new-york/areas-of-action/education/right-to-education/>> accessed 22 August 2017.

In 2005, the International Labor Rights Fund sued against Nestle on behalf of three Malian children who were trafficked to cocoa plantations for child labor in US courts under Alien Tort Statute.²² It was further explained that, even though nestle directly did not commit these acts, they clearly knew these brutal incidents which took place in Ivory Coast cocoa farms and did not take any action to prevent these. Further, they continue buying cocoa from these farms which ultimately encouraged child trafficking and slavery in Ivory Coast. This was a long time debated law suit and ultimately, the Supreme Court ruled that, human rights violation by a Nestle company which is not situated in USA cannot be heard under the Alien Tort Statute.²³ However, the plaintiffs are appealing against the decision.

Considering the above mentioned instances, it can be noted that, nestle has violated fundamental human rights around the world in a larger scale.

Next, we must pay our attentions to the international and national laws, regulations and guidelines which have been implemented to control the illicit behaviour and the human rights violations by the multinational corporations and how nestle could have adhered to these laws and guidelines which might help them to make world a better place where, human rights are protected everywhere in the world despite any social status.

OECD guidelines for multinational corporations are very important in this context. Even though it is not a hard law which needs to be mandatorily complied by multinational corporations, it guides these companies how to carry out their business in a way which is friendly to the society.²⁴ It clearly states that multinational corporations must,

“Respect human rights, which means they should avoid infringing on the human rights of others and should address adverse human rights impacts with which they are involved.”²⁵

²² 'Nestlé: Corporate Rap Sheet | Corporate Research Project' (*Corp-research.org*) <<https://www.corp-research.org/nestle>> accessed 22 August 2017

²³ 'Forbes Welcome' (*Forbes.com*, 2017) <<https://www.forbes.com/sites/danielfisher/2017/03/13/judge-tosses-nestle-suit-over-child-slavery-in-africa/#eadfb8428d13>> accessed 22 August 2017.

²⁴ 'Guidelines - Organisation for Economic Co-Operation and Development' (*Mneguidelines.oecd.org*) <<http://mneguidelines.oecd.org/guidelines/>> accessed 22 August 2017.

²⁵ OECD, OECD Guidelines for Multinational Enterprises (2011), OECD Publishing. <http://dx.doi.org/10.1787/9789264115415-en> accessed 23 August 2017.

Apart from this, United Nations Guiding Principles on Business and Human rights are the compelling piece of codified which is available in the international level to control the human rights violations by multinational corporations.²⁶ These guiding principles have the authority to control or restrict the multinational corporations against human rights violations. However, the negative point is, even though there were authoritative principles such as United Nations Guiding Principles on Business and Human rights to control multinational corporations and, even though there exists United Nations, the giant in the international human rights protection, multinational corporations such as Nestle still continue their ruthless human rights violations all over the world. No authority has been able to prevent them from doing so.

When we look at the national legal enactments in this context, USA is the best country to be discussed as USA parliament has implemented few laws which directly addresses the illegal corporate activities of multinational corporations. Alien Tort Statute ([28 U.S.C. § 1350](#)) is the main act to be paid attention. Alien Tort Statute let the outsiders of the USA to sue against USA corporations for the human rights violations which are committed outside USA. This is a positive statute as; multinational corporations might be powerful than the host country where they violated human rights and the victims who could not seek justice under their jurisdiction can sue in USA, which is a very powerful country; however, the culprit company must be necessarily a USA company.

In the above mentioned nestle instance where nestle was sued by International Labor Rights Fund on behalf of three Malian children; if the culprit company was a USA company, the plaintiffs would have been able to claim remedies against the nestle.

Recommendations and Conclusion:

The legal framework and the governments of the 'developing countries' are less powerful than the multinational giants. If the countries where multinational corporations actively maintain their business projects have failed to properly protect the human rights of their citizens, the social corporate responsibility of the multinational corporations must be to help the governments to uphold the human rights protection. If multinational corporations violate the human rights of the people around their business and if they encourage the governments to violate human rights,

²⁶ 'Guiding Principles on Business and Human Rights' (www.ohchr.org, 2017)
<http://www.ohchr.org/Documents/Publications/GuidingPrinciplesBusinessHR_EN.pdf> accessed 23 August 2017.

it will pose a huge threat to the society as; people are not in a capacity to fight against the corporation giants which violate their rights.

It is good to introduce a human rights protection indicator for multinational corporations. This can be done by United Nations. They can form a committee and create supervisors or monitoring panels to watch the human rights violations by multinational corporations. If they violated human rights, there must be an international law which can be used to cancel its license or boycott their products and services (at least for a considerable time period). A record must be maintained for every multinational corporation and the host countries must be given the chance to peruse these records and identify the potential human rights violation risks by multinational corporations.

Even though developing countries are less powerful than multinational corporations, every country must be empowered to act against human rights violations by multinational corporations as, sovereignty of the countries must always go beyond the financial power of the multinational corporations.

It can be concluded that, human rights violation by multinational corporations poses a large threat to the society as people are helpless in front of these corporate giants. However, if the multinational corporations can be made to understand their responsibility towards the society and also, if the countries and the international law making bodies can introduce strong laws and indicators to assess and control multinational corporations; multinational corporations can be influenced to not to violate human rights of the people. Further, governments of every country must understand that, the sovereignty can always out-power the financial power. Hence, multinational corporations can always be prevented from violating human rights by a strong government control.

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